TOPIC ④ · SAMPLE SHORT ANSWER #1

Brand Extensions: Long-Term Equity vs Short-Term Revenue

📄 SAMPLE **THE QUESTION & THE GRADING NOTES**

"Luxury brands like Gucci or Hermès have been careful with extensions, while others like Pierre Cardin overextended and lost equity. How should managers evaluate the **long-term brand equity impact vs. short-term revenue gains** of extensions?"

Grading notes: Assess whether the extension **reinforces or dilutes prestige/scarcity**. Short-term revenue may boost profits, but if it erodes luxury positioning by going too far into the mass market, it's not worth it long term. A good answer recognizes the **costs to long-term brand equity, not just maximizing short-term profit**, and specifically mentions the **luxury issue**: a brand that becomes **too accessible or too available loses its cachet, and with it its luxury premium**.

Learn it

PLAIN ENGLISH

A **brand extension** puts a famous name on a new product (Clorox bleach → Clorox wipes). It's tempting because the name already has fans, so the launch is cheap and sales come fast. The danger: if the new product doesn't fit, it **waters down** what the name means. For luxury, the name means "rare, special, expensive." Put it on too many cheap things and it stops meaning that, so people stop paying the luxury price.

Why extend? Two advantages 🎤 CLASS

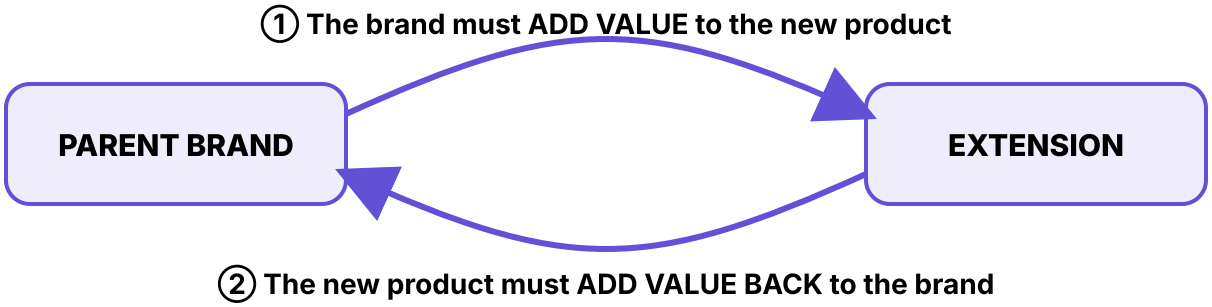
① Leverage the equity

"It's much cheaper to introduce a new product if you come in with the same brand name."

② Move the brand

Use the new product to refresh or shift what the brand means, e.g., reach younger customers. “This is exactly what **Mountain Man** is about”: an older-skewing beer trying to win young drinkers.

The two-way test (the heart of every extension answer) 🎤 CLASS



Kahn: *“You never extend a brand if it's weak. It's gotta add value... And you also never extend a brand if it's gonna weaken the original one. So you've gotta have two strong links.”* If either link fails, launch a **new brand**: more expensive, but safe.

Horizontal vs vertical extensions 🎤 CLASS 📊 SLIDES

Horizontal

New **category**, **similar price**. Clorox → wipes; Starbucks → bottled Frappuccino. **Lululemon women → men** worked (women bought the men's clothes first; Kahn admits she wrongly predicted Wall Street guys wouldn't wear it). **Risk:** stretch in too many directions and “you've lost what it originally meant.”

Vertical

Same category, **higher or lower price**. BMW $160k vs $31.5k. **Going down** sells volume but can damage the top; **going up** may not be believable. Toyota made **Lexus** instead of “luxury Toyota.” Kia is trying to move up under its own name. Can Amazon sell luxury? Kahn has doubts.

Why luxury is special

Scarcity & exclusivity
Hard to get = desirable

Heritage
“You cannot be European luxury unless you're European luxury”: 200 years of legacy is a lasting advantage 🎤

Price premium
Perfume: 90–95% of the purchase decision is the brand 📊

PIERRE CARDIN VS HERMÈS/GUCCI
Pierre Cardin licensed its name onto many mass products: **big short-term licensing revenue**, but the name became **everywhere and ordinary**, so it lost its luxury cachet and premium. Hermès and Gucci extend only into categories and price tiers that keep the brand rare and prestigious.

How to evaluate it: a framework for your essay

1. **Fit with positioning:** does the extension **reinforce or dilute** what the brand stands for (prestige, scarcity)?
2. **Two-way test:** does the brand help the product AND does the product help the brand?
3. **Direction:** horizontal (new category) or vertical (down-market is the luxury danger zone)?
4. **Short-term gain:** extra revenue and a cheaper launch, but beware **cannibalization** of the core.
5. **Long-term cost:** lost price premium and brand value. Measure it: price premium, BAV differentiation/esteem, Interbrand value.
6. **Alternatives:** a new brand, an endorsed brand, or a sub-brand if the name can't stretch.

Keep the brand fresh without extending too far 🎤 CLASS

Schweppes was old and tired during the COVID craft-cocktail boom → repositioned on **heritage**, made modern. **Pepsi** stays young through music (incubating young musicians). **Porsche** uses gaming showrooms so young people dream of owning one. **Louis Vuitton × Supreme**: an edgy collaboration. Last resort: a **silver bullet** (radical, risky). Problem: "young people are always rebelling about what their parents do."

Practice: multiple choice (9), with answers

MC 1 [SAMPLE EXAM]

Pierre Cardin licensed its name onto many mass-market products and lost equity. The core problem was:

- **✔ CORRECT: The brand became too accessible and available, so it lost its prestige and its luxury price premium**
- It didn't extend into enough categories
- Its extensions were too expensive
- It used a house of brands

EXPLANATION

Luxury depends on being rare and special. Short-term licensing money came at the cost of long-term brand value.

MC 2 [SAID IN CLASS]

According to Kahn, a brand extension should go ahead only if:

- **✔ CORRECT: The brand adds value to the extension AND the extension adds value back to the brand**
- It generates revenue in year one
- It uses a new brand name
- It is priced lower than the original

EXPLANATION

'You've gotta have two strong links.' Never extend a weak brand, and never extend if it weakens the original.

MC 3 [SAID IN CLASS]

What are the two advantages of a brand extension Kahn named in class?

- **✔ CORRECT: Cheaper launch by leveraging equity, and the ability to move or refresh the brand**
- Higher prices and lower costs
- Avoiding all risk and competition
- More SKUs and more shelf space

EXPLANATION

Mountain Man: use an extension to reach younger drinkers (moving the brand), and do it more cheaply than a new brand.

MC 4 [SLIDES]

Clorox moving from bleach into disinfecting wipes at a similar price level is a:

- **✔ CORRECT: Horizontal extension**
- Vertical extension
- Repositioning
- House of brands

EXPLANATION

Horizontal = new category, similar price. Vertical = same category, higher or lower price/quality.

MC 5 [SAID IN CLASS]

Lululemon expanding from women's to men's apparel is an example of:

- **✔ CORRECT: A horizontal extension that leveraged the brand's equity**
- A vertical downward extension
- A new brand
- A silver bullet

EXPLANATION

Kahn admitted she thought Wall Street men wouldn't wear Lululemon and was 'dead wrong.' Women buying the men's clothes helped it start.

MC 6 [SAID IN CLASS]

A luxury car brand launches a much cheaper model under the same name. The biggest risk is:

- **✔ CORRECT: Damaging the prestige of the high-end models**
- Too little volume
- Customers refusing to compare
- Lower brand awareness

EXPLANATION

Going down sells more cars but 'does it do damage to the $200,000' one? Vertical extensions downward are the luxury danger zone.

MC 7 [SAID IN CLASS]

During the COVID craft-cocktail boom, Schweppes successfully repositioned by:

- **✔ CORRECT: Building on its heritage and legacy, presented in a modern way**
- Cutting price below store brands
- Changing its name
- Launching a phone app

EXPLANATION

Legacy differentiates, like luxury's 200-year heritage. Kahn: ideally keep the brand modern all along so you don't need a big repositioning.

MC 8 [SLIDES]

Which is NOT a way Kahn described for keeping a brand young?

- ✔ **CORRECT: Discounting the core product heavily**
- Pepsi incubating young musicians
- Porsche gaming showrooms
- Louis Vuitton × Supreme collaboration

EXPLANATION

Options: branded experiences, collaborations, music and culture, extensions, or a risky 'silver bullet.' Discounting doesn't build relevance.

MC 9 [SAID IN CLASS]

If an extension fails the two-way test, Kahn's alternative is to:

- ✔ **CORRECT: Come out with a new brand name (more expensive but safer)**
- Extend anyway and cut price
- Drop the original brand
- Use the same name on everything

EXPLANATION

'If you can't do it, you might think about coming up with a new brand name... The problem, of course, is it's expensive.'

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Luxury brands like Gucci or Hermès have been careful with extensions, while others like Pierre Cardin overextended and lost equity. How should managers evaluate the long-term brand equity impact vs. short-term revenue gains of extensions?

What a full-credit answer covers

- Long-term brand equity must be weighed, not just short-term profit
- Does the extension reinforce or dilute prestige/scarcity (fit with positioning)?
- Luxury mechanism: too accessible/available → loses cachet → loses price premium
- Contrast Hermès/Gucci vs Pierre Cardin
- How to evaluate: two-way test, vertical-down risk, measure equity (price premium, BAV, Interbrand), alternatives (new or endorsed brand)

MODEL ANSWER

Managers should treat the brand as a long-lived asset and judge an extension by its effect on long-term equity, not just this year's revenue. The key question is whether the extension reinforces or dilutes what the brand stands for. For luxury, that's prestige and scarcity, which support the price premium. An extension that moves into the mass market brings quick sales but makes the brand too accessible, so it loses its cachet and the premium with it. That's what happened to Pierre Cardin, while Hermès and Gucci extend only where the brand stays rare. Use Kahn's two-way test: the brand must add value to the extension and the extension must add value back. Be especially careful with downward vertical moves. Track the price premium or brand-strength measures over time. If the stretch fails the test, use a separate or endorsed brand instead.

SHORT ANSWER 2 (9 points)

An older-skewing beer brand (like Mountain Man) wants younger drinkers. Should it launch an extension under its name or a new brand? What should decide it?

What a full-credit answer covers

- Extension pros: leverage equity (cheaper), can move/refresh the brand
- Two-way test; never extend a weak brand or one the extension would weaken
- Risks: the name may feel old to young drinkers (they rebel against their parents' brands); may alienate the core / cannibalize
- Alternatives: endorsed brand, sub-brand, new brand (cost vs fit)
- Clear recommendation with conditions/research

MODEL ANSWER

An extension is cheaper because it leverages existing equity, and it can move the brand toward younger drinkers, which is exactly Mountain Man's dilemma. But it must pass the two-way test: the name has to add value for young drinkers, and the new beer has to add value back to the core brand. Young people often rebel against their parents' brands, so an old-feeling name may add little, while a trendy product could alienate loyal core drinkers or cannibalize the flagship. I'd research how young drinkers see the brand. If it has credible equity they respect, such as authenticity or heritage (the Schweppes approach), extend. If not, use an endorsed brand or a new brand: more expensive, but it protects the core.

SHORT ANSWER 3 (9 points)

Compare horizontal and vertical brand extensions, with risks and examples from class.

What a full-credit answer covers

- Horizontal: new category, similar price (Clorox, Starbucks, Lululemon men)
- Horizontal risk: stretching in too many directions dilutes meaning
- Vertical: same category, up or down in price (BMW 760Li vs 128i)
- Vertical risks: going down damages the top; going up may lack credibility (Toyota → Lexus; Kia)
- Ties back to the two-way test / luxury

MODEL ANSWER

A horizontal extension takes the brand into a new category at about the same price: Clorox from bleach to wipes, Starbucks to bottled drinks, Lululemon from women to men. It leverages equity cheaply, but if you stretch in too many directions 'you've lost what it originally meant.' A vertical extension moves the brand up or down in price within its category, like BMW's $160,000 and $31,500 cars. Going down brings volume but can damage the premium models. Going up may not be believable, which is why Toyota created Lexus, while Kia is attempting it under its own name. In both cases the test is whether the brand adds value to the extension and the extension strengthens the brand.